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French Labour Cost Lab: An Open-Source Dashboard for Simulating Labour Costs and Contribution Reliefs in France

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This working paper documents an open-source research tool. It does not represent the official position of any institution. All errors remain the author's own.

Abstract

This working paper presents the *French Labour Cost Lab*, an open-source interactive dashboard designed to simulate and visualize the structure of labour costs in France. The tool queries the public Mon-entreprise/URSSAF calculation API over a fine-grained wage grid ranging from 0.8 to 3.5 times the statutory minimum wage (SMIC), with a step of 0.01 SMIC, for a gross monthly SMIC reference of 1,801.80 euros. It produces a comprehensive set of indicators — including gross wage, net wage, total employer cost, employer and employee social contributions, the RGDU 2026 contribution relief amount, the social wedge, effective employer contribution rates, marginal cost indicators, and a simplified disposable income module incorporating a stylized income tax estimate — for a combinatorial set of employee profiles defined by executive status, territorial regime, and occupational injury risk scenario. The primary contribution of the project is threefold: it enhances the reproducibility of labour cost analysis, provides fine-grained granularity along the wage scale, and renders visible the non-linearities introduced by degressive contribution relief mechanisms. The paper situates the tool within the broader literature on labour cost incidence, distinguishes institutional accounting incidence from economic incidence, documents internal consistency checks validating the simulation output, and explicitly delineates the methodological scope and limitations. The *French Labour Cost Lab* is intended as an open infrastructure for applied economic analysis, policy discussion, pedagogical use, and reproducible research.

Keywords: labour costs, social contributions, payroll taxes, contribution reliefs, RGDU, social wedge, tax incidence, simulation, open-source, France.

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1. Introduction

The structure of labour costs in France is a subject of considerable economic interest, both for research and for policy. France maintains one of the most complex social contribution systems among OECD countries, combining statutory employer and employee contribution schedules with an extensive set of degressive contribution reliefs targeted at wages near the statutory minimum. The interactions among gross wages, contribution rates, territorial regimes, executive status, and occupational injury risk classifications produce a labour cost schedule that is highly non-linear along the wage distribution.

Despite this complexity, most public discussions of labour costs in France rely on one of two types of evidence: aggregate macroeconomic indicators, which mask within-distribution heterogeneity, or isolated case-type calculations, which are rarely reproducible and often fail to capture marginal effects along the wage scale. Academic contributions have long documented the importance of considering the full schedule of effective contribution rates when analysing the employment effects of payroll taxes and the incidence of reliefs (Gruber, 1997; Kramarz and Philippon, 2001; Cahuc et al., 2019). Yet practitioners, students, and policy analysts often lack access to a transparent, granular, and reproducible tool for visualizing these mechanisms in the French context.

The *French Labour Cost Lab* addresses this gap. It is an open-source research dashboard that simulates gross wages, net wages, total employer costs, social contributions, and contribution relief amounts across a fine-grained wage grid, for a set of employee profiles defined by a combinatorial architecture. The project does not claim to measure the economic incidence of social contributions — a question that requires causal identification and elasticity estimation. Its contribution is, rather, methodological and pedagogical: it renders the institutional and accounting structure of French labour costs transparent, reproducible, and visually accessible.

The contribution of the *French Labour Cost Lab* is triple. First, it enhances **reproducibility**: all simulations are generated from a public calculation engine (Mon-entreprise/URSSAF API), with documented code and configuration files. Second, it provides **wage-scale granularity**: the wage grid covers 0.8 to 3.5 SMIC with a step of 0.01 SMIC, enabling the detection of non-linearities and discontinuities that case-type calculations cannot reveal. Third, it makes **non-linearities visible**: the degressive relief mechanism (RGDU 2026) introduces effective contribution rate profiles and marginal cost patterns that differ substantially from statutory rate schedules, and the dashboard is specifically designed to render these patterns legible.

The remainder of the paper is organized as follows. Section 2 reviews the conceptual foundations of labour cost analysis and the distinction between accounting and economic incidence. Section 3 describes the methodology, data, calculation engine, and internal consistency checks. Section 4 presents the indicators constructed in the dashboard. Section 5 discusses the descriptive results. Section 7 discusses the intended uses of the tool. Section 8 enumerates the methodological limitations. Section 9 concludes.

2. Conceptual Background

2.1. Decomposition of the labour cost

In the French institutional framework, the total cost of labour borne by the employer decomposes as follows:

$$C_{\text{emp}} = w_{\text{brut}} + \text{Cot}_{\text{emp}}^{\text{gross}} - \text{RGDU} \quad (1)$$

where C_{emp} denotes the total employer cost, w_{brut} is the gross wage, $\text{Cot}_{\text{emp}}^{\text{gross}}$ the statutory employer social contributions before any relief, and RGDU the contribution relief received by the employer under the degressive unified relief scheme. Defining net employer contributions as $\text{Cot}_{\text{emp}}^{\text{net}} = \text{Cot}_{\text{emp}}^{\text{gross}} - \text{RGDU}$, equation (1) is equivalently $C_{\text{emp}} = w_{\text{brut}} + \text{Cot}_{\text{emp}}^{\text{net}}$.

The net wage received by the employee is:

$$w_{\text{net}} = w_{\text{brut}} - \text{Cot}_{\text{sal}} \quad (2)$$

where Cot_{sal} represents employee social contributions deducted from the gross wage at source.

These accounting identities define the *institutional incidence* of social contributions: they describe who formally pays what, as determined by the legal and regulatory framework. This is the object of analysis in the dashboard.

2.2. Social wedge

The *social wedge* (coin social) is the total contribution burden extracted from the employment relationship, expressed as the gap between employer cost and employee net wage:

$$\text{Coin social} = C_{\text{emp}} - w_{\text{net}} = \text{Cot}_{\text{emp}}^{\text{net}} + \text{Cot}_{\text{sal}} \quad (3)$$

The social wedge thus aggregates both sides of the contribution system, net of reliefs.

2.3. Economic incidence versus accounting incidence

A fundamental principle of public finance is that the formal legal incidence of a tax does not necessarily coincide with its economic incidence, that is, who ultimately bears the burden in terms of purchasing power (Kotlikoff and Summers, 1987; Gruber, 1997). In labour markets, economic incidence depends on the relative elasticities of labour supply and labour demand, the role of minimum wage regulations, collective bargaining institutions, and market structure (Kugler and Kugler, 2009; Saez et al., 2012).

In France, the SMIC creates a wage floor that constrains downward adjustment of gross wages, which may affect the distribution of the incidence burden at the bottom of the wage distribution (Kramarz and Philippon, 2001). Moreover, degressive contribution reliefs targeted at low wages imply that the effective labour cost schedule is not proportional to gross wages, which can generate complex employment incentive effects (Cahuc et al., 2019).

The *French Labour Cost Lab* does not attempt to measure economic incidence effects. It simulates accounting incidence and provides the institutional and computational infrastructure that could support subsequent empirical analysis. This distinction is central to the interpretation of all results.

2.4. The role of contribution reliefs in France

France has implemented employer contribution relief systems since the mid-1990s, progressively consolidated into the current Reduction Generale Degressive Unique (RGDU). The RGDU is maximal at wages equal to the SMIC and decreases as the ratio of gross wage to SMIC increases, reaching zero at a regulatory threshold. This degressive profile implies that the effective employer contribution rate is substantially lower than the statutory rate at low wages and converges toward the statutory rate at higher wages.

The RGDU therefore introduces a non-linear, potentially non-monotone structure in the effective labour cost schedule. Within the phase-out zone, the marginal employer cost of a wage increase can exceed the statutory marginal rate — a feature sometimes referred to as a *trapeze a charges* in the French policy debate. The *French Labour Cost Lab* makes these patterns directly visible.

3. Methodology

3.1. The Mon-entreprise/URSSAF calculation engine

The simulations are generated by querying the public API of *Mon-entreprise*, the official URSSAF simulator (<https://mon-entreprise.urssaf.fr>). This API exposes a calculation engine implementing the current French social contribution rules, including statutory contribution rates, exemption thresholds, degressive relief formulas, and territorial specificities. The engine is maintained by URSSAF and updated when regulatory parameters change.

The choice to rely on this external engine, rather than reproducing the contribution rules manually, reflects a deliberate methodological decision. Manual reproduction of the French social contribution system is error-prone given the complexity of the regulatory framework. By delegating the core calculation to the official engine, the project ensures consistency with institutional rules while concentrating its own contribution on the wage grid design, the combinatorial profile system, the indicator construction, and the visualization layer.

3.2. Wage grid

Simulations are run over a fine-grained grid of gross monthly wages expressed as multiples of the SMIC. The configuration used for the current dataset is:

- Gross monthly SMIC reference: **1,801.80 euros**;
- Minimum wage point: **0.8 SMIC**;
- Maximum wage point: **3.5 SMIC**;
- Step: **0.01 SMIC**.

This produces a grid of 271 wage points, providing sufficient resolution to identify non-linearities, kinks, and marginal effects. In absolute terms, the grid spans from approximately 1,441 to 6,306 euros of gross monthly wage.

3.3. Combinatorial profile system

Each simulated observation corresponds to a profile defined along three dimensions:

1. Employee status.

- *Non-executive* (non-cadre): AGIRC-ARRCO non-executive rates;
- *Executive* (cadre): AGIRC-ARRCO executive rates, with the mandatory minimum employer contribution floor specific to the executive regime.

2. Territorial regime.

- *Standard* (hors Alsace-Moselle): applicable to the vast majority of French employees;
- *Alsace-Moselle*: higher employee health insurance contributions, partially offset by lower employer contributions.

3. Occupational injury risk (AT/MP).

- Standard AT/MP; AT/MP 1%; AT/MP 4%; Support functions (experimental).

The full combinatorial system yields 16 distinct profiles ($2 \times 2 \times 4$), each simulated over the full 271-point wage grid, producing a dataset of $16 \times 271 = 4,336$ observations.

3.4. Internal consistency checks

To verify that the dataset produced by the API queries is internally coherent, three accounting identities are checked systematically across all observations:

1. Employer cost identity:

$$C_{\text{emp}} = w_{\text{brut}} + \text{Cot}_{\text{emp}}^{\text{net}}$$

verified to hold at machine precision across all 4,336 profile-wage pairs.

2. Net wage identity:

$$w_{\text{net}} = w_{\text{brut}} - \text{Cot}_{\text{sal}}$$

verified to hold at machine precision across all observations.

3. RGDU consistency:

$$\text{RGDU} = \text{Cot}_{\text{emp}}^{\text{gross}} - \text{Cot}_{\text{emp}}^{\text{net}}$$

The relief amount reported by the API as a standalone variable is verified to equal the difference between gross and net employer contributions, confirming that the API returns consistent pre- and post-relief figures.

These checks validate the internal coherence of the dataset before any indicator construction is performed. They do not constitute an external validation against payroll records, but they confirm that the simulation output respects the accounting identities that underlie all subsequent analysis.

3.5. Data output

The complete dataset is stored in a structured CSV file and made available for download directly from the dashboard interface. All scripts used to query the API, process the data, and build the dashboard are hosted on the project repository (<https://github.com/HugoSRagain/french-labour-cost-lab>) under an open-source licence, ensuring full reproducibility.

4. Indicators

This section defines each indicator produced by the dashboard. All indicators are defined at the level of a given wage point and profile.

4.1. Level indicators

Gross monthly wage (w_{brut}) is the contractual gross wage before any social contribution is deducted.

Net monthly wage ($w_{\text{net}} = w_{\text{brut}} - \text{Cot}_{\text{sal}}$) is the wage effectively received by the employee after employee contributions.

Total employer cost ($C_{\text{emp}} = w_{\text{brut}} + \text{Cot}_{\text{emp}}^{\text{net}}$) is the total amount paid by the employer, including gross wage and net employer contributions.

Employee contributions (Cot_{sal}) are all social contributions legally assigned to the employee and deducted from the gross wage.

Employer contributions net of relief ($\text{Cot}_{\text{emp}}^{\text{net}}$) are all contributions legally assigned to the employer, after deduction of the RGDU.

RGDU 2026 amount: the monthly (or annual) employer contribution relief, also expressed as a share of gross wage.

4.2. Rate indicators

Effective employer contribution rate is the ratio of net employer contributions to gross wage:

$$\tau_{\text{emp}}^{\text{eff}} = \frac{\text{Cot}_{\text{emp}}^{\text{net}}}{w_{\text{brut}}} \quad (4)$$

This is an *apparent rate after reliefs*. It is substantially lower than the statutory rate at wages near the SMIC, and converges toward the statutory rate as the RGDU phases out.

Total social levy rate measures the aggregate contribution burden — both employer and employee sides, net of reliefs — as a share of *gross wage*:

$$\tau_{\text{total}}^{\text{brut}} = \frac{\text{Cot}_{\text{emp}}^{\text{net}} + \text{Cot}_{\text{sal}}}{w_{\text{brut}}} \quad (5)$$

This rate measures what fraction of gross wage is absorbed by social contributions on both sides. It differs from the social wedge (equation 3), which is expressed in levels and uses C_{emp} as a reference. $\tau_{\text{total}}^{\text{brut}}$ is the natural complement to the effective employer rate, and can be read as the apparent total contribution pressure relative to gross wage.

4.3. Ratio indicator

Employer cost-to-net-wage ratio:

$$\rho = \frac{C_{\text{emp}}}{w_{\text{net}}} \quad (6)$$

This indicator answers the practical question: how many euros does the employer pay for each euro of net wage received by the employee?

4.4. Marginal indicators and disposable return

Marginal indicators are computed by finite difference between adjacent wage points i and $i + 1$. Let Δ denote this discrete difference operator.

Marginal employer cost rate:

$$\tau_{\text{emp}}^{\text{marg}} = \frac{\Delta C_{\text{emp}}}{\Delta w_{\text{brut}}} \quad (7)$$

In the phase-out zone of the RGDU, $\tau_{\text{emp}}^{\text{marg}}$ can exceed the statutory employer contribution rate, because a gross wage increase simultaneously raises statutory contributions and reduces the relief received. This creates marginal employer costs substantially above the average effective cost.

Disposable return on a gross wage increase measures what fraction of an additional euro of gross wage effectively reaches the employee, accounting both for social contributions and for income tax. Two measures are reported:

$$R^{\text{avant IR}} = \frac{\Delta w_{\text{net}}}{\Delta w_{\text{brut}}} \quad (8)$$

$$R^{\text{apres IR}} = \frac{\Delta Y^{\text{disp}}}{\Delta w_{\text{brut}}} \quad (9)$$

where Y^{disp} is a simplified estimate of disposable income after income tax (IR). The fiscal module used to compute Y^{disp} rests on the following stylized assumptions: single individual (celibataire), one fiscal part, no other income, standard 10% deduction on net wage, standard IR schedule (2026 brackets), excluding any specific tax credit, reduction, or income disregard (“decote”). This module is explicitly simplified and intended as an illustrative complement to the social contribution analysis, not as a substitute for a full microsimulation of income tax liability.

The distinction between $R^{\text{avant IR}}$ and $R^{\text{apres IR}}$ reveals the additional wedge introduced by income taxation on top of social contributions.

4.5. Decomposition

The **employer cost decomposition** breaks total employer cost into four components at each wage point:

$$C_{\text{emp}} = \underbrace{w_{\text{net}}}_{\text{net wage}} + \underbrace{\text{Cot}_{\text{sal}}}_{\text{employee contributions}} + \underbrace{\text{Cot}_{\text{emp}}^{\text{gross}}}_{\text{gross employer contributions}} - \underbrace{\text{RGDU}}_{\text{relief (negative component)}} \quad (10)$$

The RGDU appears as a negative component, reducing the gross contribution to its net value. This representation makes the mechanical role of the relief immediately legible.

5. Descriptive Results

This section provides a descriptive commentary of the main graphs produced by the dashboard. All patterns described below are consistent across specifications unless otherwise noted.

5.1. From gross wage to employer cost

The first graph plots gross wage, net wage, and total employer cost as a function of the SMIC multiple. The gap between net wage and employer cost is not proportional to gross wages. At wages near the SMIC, contribution reliefs substantially compress this gap: the employer cost is only moderately above the gross wage, because the RGDU reduces net employer contributions. As wages increase and the RGDU phases

out, the gap between employer cost and net wage widens progressively, reflecting convergence of effective rates toward statutory rates.

5.2. Effective employer contribution rate

The effective employer contribution rate (equation 4) displays a markedly non-monotone profile. At the SMIC level, the rate is substantially below the statutory rate due to the full RGDU relief. As wages increase above the SMIC, the rate rises progressively. Above the extinction threshold of the RGDU, the effective rate stabilizes close to the statutory employer contribution rate. The comparison between executive and non-executive profiles reveals additional divergence at mid-range wages, reflecting distinct AGIRC-ARRCO contribution structures.

5.3. RGDU 2026: the degressive relief schedule

The RGDU graph plots the monthly relief amount and its share in gross wage. The relief is maximal at 1 SMIC and decreases monotonically. Based on the current regulatory formula as returned by the Mon-entreprise engine, the RGDU reaches zero in the neighborhood of 3 SMIC for the profiles observed in the dashboard.¹ The approximately linear decline of the relief over the phase-out range implies a roughly constant rate of decrease per SMIC multiple, generating the marginal cost effects documented in Section 4.4.

5.4. Social wedge

The social wedge (equation 3) is monotonically increasing in the gross wage in absolute terms. As a share of employer cost, however, it is compressed at low wages by the RGDU and increases as the relief phases out. This non-constant relative wedge is one of the most important features of the current French contribution architecture.

5.5. Employer cost-to-net-wage ratio

The ρ indicator (equation 6) shows how many euros of employer cost correspond to one euro of net employee wage. At the SMIC, this ratio is meaningfully above one but compressed relative to higher wages. As wages increase and the relief phases out, the ratio rises toward a level consistent with statutory rates.

¹The precise extinction threshold depends on the regulatory formula and on the profile (executive/non-executive, territorial regime). The statutory formula is calibrated by reference to the FILLON coefficient, which depends on the wage-to-SMIC ratio. All figures reported in the dashboard reflect the engine's output for the current SMIC reference of 1,801.80 euros and should be updated if the SMIC or the formula changes.

5.6. Marginal employer cost

The marginal employer cost indicator (equation 7) reveals the most economically significant feature of the French contribution schedule: in the RGDU phase-out zone, the marginal rate systematically exceeds the average effective rate and may exceed the statutory rate over certain wage intervals. This means that employers deciding whether to raise a worker's wage above the SMIC face a higher effective marginal cost than the statutory schedule suggests.

5.7. Total social levy rate

The total social levy rate (equation 5) measures the aggregate contribution burden on both sides of the employment relationship, expressed as a share of gross wage. This rate is relatively lower at the SMIC (where the RGDU compresses the employer contribution) and converges toward a higher value as the relief phases out.

5.8. Disposable return on a gross wage increase

The disposable return indicators (equations 8–9) show what fraction of one additional euro of gross wage effectively reaches the employee. The before-tax measure $R^{\text{avant IR}}$ is compressed by social contributions alone. The after-tax measure $R^{\text{apres IR}}$ additionally accounts for the marginal income tax rate under the simplified fiscal module. At low wages, the income tax rate is typically zero or very low, so the two measures are close. At higher wages, the income tax wedge becomes visible, and $R^{\text{apres IR}}$ falls below $R^{\text{avant IR}}$. This graph provides a synthetic view of the total fiscal and social pressure on wage increases along the earnings distribution.

5.9. Employer cost decomposition

The decomposition graph (equation 10) is the most comprehensive visual in the dashboard. It displays, at each wage point, the four components of the employer cost: net employee wage, employee contributions, gross employer contributions, and the RGDU relief amount (as a negative component). The stacked representation allows simultaneous observation of the absolute magnitude of each component and its evolution along the wage scale. The RGDU is directly readable as the gap between gross and net employer contributions, which is large at the SMIC and reaches zero at the extinction threshold.

5.10. Comparative graphs

The Comparisons tab allows overlaying profiles. The most instructive comparisons are:

- **Executive vs. non-executive:** the two profiles follow broadly similar patterns but diverge at mid-range wages, where AGIRC-ARRCO executive structures generate a distinct effective rate schedule.
- **AT/MP scenarios:** varying the occupational injury rate shifts the effective employer cost schedule uniformly without fundamentally altering its shape.
- **Territorial regime:** the Alsace-Moselle regime produces a distinct employee contribution profile, with higher employee-side contributions partially offset by lower employer contributions, resulting in a different wedge decomposition at equal gross wage.

6. Dashboard Architecture

The dashboard is deployed as a static interactive HTML page, accessible at <https://hugosragain.github.io/french-labour-cost-lab/>. It is organized into four tabs.

Simulation tab. The user selects a profile (executive status, territorial regime, AT/MP scenario) and the tab displays the full set of indicators over the complete wage grid.

Comparisons tab. Users overlay two or more profiles on the same graph to visualize directly the differences in cost structure.

Data tab. Users can download the complete CSV dataset or inspect the interactive data table for the selected profile.

Methodology tab. Sources, hypotheses, and limitations are documented. It includes references to the regulatory sources underlying the contribution rules, and explicitly flags the experimental status of the support functions AT/MP scenario.

7. Intended Uses

Applied economics research. The tool provides a reproducible dataset of labour cost indicators at fine-grained wage resolution, suitable for use in studies of the distributional effects of contribution reliefs or of wage policy proposals.

Policy analysis. Analysts can use the dashboard to identify wage ranges where marginal costs or effective rates are particularly high or low, and to illustrate their analysis with reproducible graphs.

Pedagogy. The tool is well suited to graduate courses in labour economics, social policy, or public finance, where the decomposition graph makes the mechanics of the RGDU immediately legible to non-specialist students.

Threshold and non-linearity analysis. The fine-grained wage grid enables identification of wage thresholds where the cost schedule exhibits kinks or discontinuities.

Profile comparison. Practitioners can use the comparison tab to assess how the cost structure differs across executive and non-executive employees, territorial regimes, or risk scenarios.

8. Methodological Limitations

Reference simulations, not official payroll calculations. Actual payroll values may differ depending on the collective bargaining agreement, firm size and sector, precise AT/MP classification, sector-specific exemptions, and other firm-level specificities not covered by the API general engine.

Dependence on the Mon-entreprise/URSSAF engine. If the API engine is updated due to regulatory changes, the dataset must be regenerated. Users relying on the dataset for time-sensitive analysis should verify the regulatory reference period.

AT/MP scenarios as parametric risk rates. The AT/MP scenarios are parametric variations in the occupational injury rate, not representations of specific occupations or sectors. The “support functions” scenario relies on a rule flagged as experimental by the API and should be treated with particular caution.

No behavioral responses or economic incidence. The tool models accounting incidence only and makes no claim about the economic incidence of contributions. It does not model behavioral responses to wage policy changes and does not provide estimates of employment, wage, or welfare effects.

No coverage of collective agreements. The French labour market is extensively regulated by sectoral and firm-level collective agreements (*conventions collectives*), which may impose contribution rates or structures differing from the general rules simulated by the Mon-entreprise engine.

Simplified fiscal module. The disposable income module rests on a stylized income tax calculation for a single individual with no other income. It excludes the *decote*, specific tax credits, and other reductions. It should be interpreted as an illustrative order of magnitude, not as an exact tax liability estimate.

Static framework. The tool provides a cross-sectional picture at a given point in time, defined by the current SMIC value and the current RGDU formula. It does not simulate the dynamic effects of parameter changes, although it can be regenerated when parameters evolve.

9. Conclusion

The *French Labour Cost Lab* transforms a complex institutional system into a transparent and reproducible object of economic analysis. By querying the official Mon-entreprise/URSSAF calculation engine over a fine-grained wage grid and a combinatorial set of employee profiles, the project produces a comprehensive dataset of labour cost indicators and renders them accessible through an interactive open-source dashboard.

The tool makes three categories of results directly visible. First, it shows how total employer cost, net employee wage, and the social wedge diverge along the wage scale in ways not apparent from aggregate indicators or isolated case-type calculations. Second, it reveals the non-linear structure of effective employer contribution rates introduced by the RGDU 2026 degressive relief mechanism — in particular, the phenomenon by which marginal employer cost rates in the phase-out zone can exceed statutory rates. Third, it allows direct comparison of cost structures across executive and non-executive employees, territorial regimes, and occupational risk scenarios. The addition of a simplified fiscal module further documents the combined wedge of social contributions and income tax on gross wage increases along the earnings distribution.

By design, the tool does not claim to measure the economic incidence of contributions or the employment effects of relief policies. It provides the institutional and computational infrastructure on which such analyses could subsequently be built.

The *French Labour Cost Lab* is open-source, fully documented, and designed for reproducibility: all code, configuration files, and raw data are publicly available. The project is intended as a living tool, to be updated as regulatory parameters evolve. Contributions, corrections, and extensions are welcome.

A. Notation Summary

Table 1: Summary of notation

Symbol	Definition
w_{brut}	Gross monthly wage
w_{net}	Net monthly wage
C_{emp}	Total employer cost
Cot_{sal}	Employee social contributions
$\text{Cot}_{\text{emp}}^{\text{gross}}$	Gross employer contributions (before relief)
$\text{Cot}_{\text{emp}}^{\text{net}}$	Net employer contributions (after RGDU)
RGDU	Reduction Generale Degressive Unique 2026 relief
Y^{disp}	Simplified disposable income after income tax
$\tau_{\text{emp}}^{\text{eff}}$	Effective employer contribution rate (net of RGDU)
$\tau_{\text{emp}}^{\text{marg}}$	Marginal employer cost rate
$\tau_{\text{total}}^{\text{brut}}$	Total social levy rate (share of gross wage)
ρ	Employer cost-to-net-wage ratio
$R^{\text{avant IR}}$	Net return on a gross wage increase (before income tax)
$R^{\text{apres IR}}$	Disposable return on a gross wage increase (after income tax)

B. Profile Configuration

Table 2: Combinatorial profile dimensions

Dimension	Modalities	Count
Employee status	Non-executive / Executive	2
Territorial regime	Standard / Alsace-Moselle	2
AT/MP risk scenario	Standard / 1% / 4% / Support functions	4
Total profiles		16

C. Wage Grid Parameters

Table 3: Wage grid configuration

Parameter	Value
SMIC brut mensuel de reference	1,801.80 euros
Minimum point	0.8 SMIC
Maximum point	3.5 SMIC
Step	0.01 SMIC
Number of wage points	271
Total observations	4,336

D. Simplified Income Tax Module

The disposable income estimate Y^{disp} is computed as follows. Let w_{net} be the net monthly wage. Annual net wage is $w_{\text{net}}^{\text{ann}} = 12 \cdot w_{\text{net}}$. The taxable base after the standard 10% deduction is:

$$R_{\text{imposable}} = 0.90 \times w_{\text{net}}^{\text{ann}}$$

Income tax liability is then computed by applying the 2026 progressive IR schedule to $R_{\text{imposable}}$ for a single individual with one fiscal part. The resulting annual tax T is divided by 12 to obtain the monthly tax liability, and disposable monthly income is:

$$Y^{\text{disp}} = w_{\text{net}} - \frac{T}{12}$$

This calculation excludes the *decote*, all tax credits and reductions, CSG deductibility adjustments, and any other source of income. It is provided as an illustrative complement only.

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